Independent Valuation Study — Educational Analysis

Electro Cable Egypt Co. S.A.E. (EGX: ELEC)

Fundamental analysis · Technical analysis · Monte Carlo simulation — one integrated read

Anchor: EGP 2.19 (5 Aug 2026 close) · 3,313.5 mn shares · mkt cap ~EGP 7.3 bn · Egypt's oldest cable maker (founded 1954, Mostorod plant, ~25,000 t/yr), listed on the EGX since 1995, majority-held by the **Gadwa / Pioneers group** (~78–81%, free float ~20%), consolidating Giza Power Industry and two smaller subsidiaries · products: low/medium/high-voltage power cables, enameled wire, overhead conductors, telephone cable · prices and probabilities computed 5 Aug 2026 from the attached daily history · primary lens: a free-cash-flow DCF on a forward discount-rate schedule that follows the Egyptian easing cycle down · the two swing factors are working-capital collection and where cable margins settle after the devaluation-era windfall.

READ FIRST — what this document is, and is not.

This study is a valuation exercise and an expression of personal analytical opinion, published free of charge for educational purposes: it shows how one analyst applies fundamental, technical and probabilistic methods to a listed company, and invites scrutiny of that methodology. It is NOT investment advice, NOT a recommendation or solicitation to buy, sell or hold any security, and NOT directed at the circumstances of any reader. The preparer is not licensed by any securities regulator in any jurisdiction, holds no Egyptian (FRA) or other brokerage or advisory authorisation, provides no financial consultancy, manages no money, and accepts no fees, funds or clients. See the Disclosure & Disclaimer at the end.

A sourcing note specific to this company, stated up front rather than buried: Electro Cable Egypt’s full audited statements were not reachable through the channels available for this study — headline revenue, profit and total assets are multiply-sourced from bourse-disclosure reporting services, but several line items (interest expense, capex, the working-capital split, facility-level debt) are DERIVED and are labelled as such wherever they appear. The one fully-triangulated year, FY2024, closes to the reported net profit within 0.8% using the derived lines, which is why the derivations are considered usable. The companion Source Register document lists every input, its source and its date. Consult a licensed financial advisor before any investment decision.

Headline

The model's read: meaningfully overvalued — the price still pays for devaluation-era earnings the company itself is no longer printing. At EGP 2.19 the shares sit roughly 84% above our weighted central estimate of EGP 0.34 (range 0.19–1.19). The arithmetic of the last three years explains why. FY2023–24 were windfall years: revenue rose 52% then 59% and net profit reached EGP 1.25–1.33 bn as devaluation repriced copper-linked cable prices through a pound-denominated cost base and inventory. FY2025 took the windfall back — revenue −21.5%, net profit −62% to EGP 500 mn — and 1Q2026 swung to a consolidated net LOSS of EGP 242 mn on sales down 44%. The disclosed 1Q26 lines are blunt: gross margin 5.7% (vs 33.1% a year earlier) and operating profit of EGP 1.4 mn — effectively zero. Meanwhile the balance sheet carries EGP 10.9 bn of drawn bank facilities (disclosed; up from 8.96 bn a year earlier) against EGP ~4 bn of equity, working capital has swollen to ~117% of annual revenue (receivables and copper-inflated inventory), and operating cash flow has been negative — at ~22% funding costs, finance expense alone consumes the entire operating line in a soft year. The valuation is built bottom-up from tonnage: implied volumes fell from ~24,000 t (96% of capacity, FY23–24) to ~9,500 t annualized in 1Q26 (~38%), and conversion EBITDA collapsed from ~146,000 to ~11,000 EGP per tonne. On that build, discounted at a rate schedule following the central bank's own easing path (21.4% gliding to 15.0% terminal, normalized capital structure), the enterprise is worth LESS than its disclosed EGP 10.9 bn of bank debt — the intrinsic equity is negative and is floored at zero only by limited liability. The normalized-earnings and book lenses (0.73 and 0.91) assume the balance sheet gets fixed first; even the bull scenario (1.19 central) sits 46% below today's price. Technically the tape is neutral-to-firm — above the short averages, below the falling 200-day, RSI mid-50s — and the three-month simulation, which prices the stock's own path rather than its value, puts the 5th–95th percentile band at EGP 1.71–3.07 with a median near 2.29. The gap between that tape-anchored map and the fundamental work is the study's central tension, examined in §4.

Valuation summary — every read at a glance

One table for the four reads that follow — what the business is worth (fundamental), what the tape is doing (technical), where price could travel over three months (Monte Carlo), and how three independent expert methods land. Every row is developed in the sections and appendices below.

Lens / read	What it measures	Output	Takeaway
FUNDAMENTAL — what the business is worth (the anchor)			
FCFF DCF (primary)	Cash flow on the easing-cycle discount schedule	EGP 0.01	-100% vs spot
Relative (EV/EBITDA)	Mid-cycle EBITDA × peer-anchored multiple	EGP 0.05	-98%
Normalized earnings	Mid-cycle EPS × through-cycle P/E	EGP 0.73	-67%
Book / replacement	Justified P/B on sustainable ROE	EGP 0.91	-58%
Weighted central	Blend 40 / 20 / 20 / 20	EGP 0.34	-84% vs EGP 2.19
TECHNICAL — what the tape is doing (timing, not value)			
Trend & momentum	Price vs the 20/50/100/200-day averages	Above 20/50/100 · below 200	Neutral, basing
Momentum / range	RSI · MACD · 52-week range	RSI 54 · MACD flat · 1.90–3.36	No strong signal
MONTE CARLO — where price could go in 3 months (paths from spot)			
1 month	50,000 calibrated paths	p5 1.91 · p50 2.22 · p95 2.59	Carry-tilted drift
3 months	same engine, longer horizon	p5 1.71 · p50 2.29 · p95 3.07	Wide, right-skewed
EXPERT PANEL — three independent methods (Appendix C)			
Expert 1 — earnings power	Normalized EPS × justified multiple	EGP 0.73	Most generous
Expert 2 — owner cash earnings	What the statements actually convert to cash	EGP 0.11	Most severe
Expert 3 — cash returns vs capital cost	Economic profit through the rate cycle	EGP 0.10	—
Panel range	Spread = the collection-and-margin question	EGP 0.10–0.73	All below spot

Bottom line. Every fundamental lens, and every one of the three expert methods, lands below the market price — the most generous read (0.73, normalized earnings power) still sits 67% under spot, and the cash-flow-based reads sit far lower. On the bottom-up tonnage build there is NO fundamental path to EGP 2.19 inside the modelled scenario space: even the bull case — conversion economics recovering to ~175,000 EGP/tonne, volumes near 70% utilization, full collection, an easing overshoot — centres at 1.19, still 46% below the market. Reaching spot requires the devaluation windfall itself to return. The market may also simply be pricing ELEC as a small-cap trading vehicle — the stock trades actively on the EGX70 rotation, and the controlling group has been a steady seller into that liquidity (block sales at EGP 2.00–2.21 through 2026). The probabilistic map's median (2.29) is above spot only because it prices the stock's own path — the carry on Egyptian money is 19.5% a year and the simulation is anchored on it; it is not a statement about value.

Company overview — Electro Cable Egypt at a glance

Item	Value
Listed entity	Electro Cable Egypt Co. S.A.E. (EGX: ELEC; ISIN EGS3G231C011)
What it does	Egypt's oldest diversified cable maker (est. 1954, nationalised 1960s, Pioneers group since 2013): LV/MV/HV power cables, enameled copper wire, overhead conductors, telephone cables; Mostorod (Shubra El-Kheima) plant, ~25,000 t/yr; consolidates Giza Power Industry + 2 smaller units
Spot / date	EGP 2.19 · 5 Aug 2026 close
Shares · market cap	3,313.5 mn (par EGP 0.20) · ~EGP 7.3 bn
FY25 revenue / net profit	EGP 10,819 mn (−21.5% YoY) · EGP 500.3 mn (−62%; 4.6% margin)
1Q26 revenue / net profit	EGP 2,094 mn (−43.8%) · gross margin 5.7% (vs 33.1%) · net LOSS EGP 241.7 mn (vs +451.4 mn)
Balance sheet	FY25: assets EGP 16.5 bn · drawn bank facilities EGP 10.9 bn (disclosed; 8.96 bn FY24) · equity ~EGP 4.1 bn · ND/E >240%
52-week range	EGP 1.90 – 3.36 (all-time high 4.84, 31-Jan-2024)
Ownership	Gadwa for Industrial Development + Pioneers-group related parties ~78–81%, distributing down via 2026 block sales; free float ~20% ±3pp
Dividends	None — the company has never paid a dividend
Corporate events	Alhsn block sale 88 mn sh @ EGP 2.00 (1-Jul-26) · Mashareq exit @ 2.21 (Feb-26) · H1-2026 results due ~mid-Aug-2026

Source: bourse-disclosure reporting of the company's EGX filings (FY23/FY24/FY25 and 1Q26), Mubasher company profile, ownership disclosures. Values rounded. Full sourcing in the companion Source Register.

1 Fundamental valuation

We value ELEC as a single operating company — a working-capital-intensive cable assembler whose economics are set by three things it does not control (copper, the pound, the interest-rate cycle) and two it partly does (collection of its receivables, and the margin it can defend once devaluation windfalls wash out). The primary lens is a free-cash-flow DCF built on a forward discount-rate schedule that follows the Egyptian easing cycle down — discounting every year at one flat crisis-era rate would assert that Egypt never normalises, which the central bank's own published path contradicts. A relative read, a normalized mid-cycle read and a book-value read complete the set; the synthesis and football field are in §1.5, the drivers in §1.6, the crux in §1.7 and the sensitivity grids in §1.9.

1.1 The FCFF DCF — the primary lens, with the full waterfall

The build below shows every step from revenue to present value: EBITDA → D&A → EBIT → NOPAT (EBIT × (1 − 22.5%)) → + D&A → − capex → − Δ working capital → free cash flow to firm → that year's own forward discount rate → PV. Note the discount-factor row: each year is discounted at its own forward WACC, gliding from 22.6% (this year's money) to 14.1% (terminal money), with the glide shape taken from the same forward cost-of-debt path used in the interest forecast — one assumed easing calendar, used everywhere, never two. The terminal value is capitalised at the terminal WACC and discounted at the same year-5 cumulative factor as the year-5 cash flow: one date, one price of time.

EGP mn	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	9,160	10,814	12,529	14,226	15,798
EBITDA	416	1,071	1,541	1,894	2,160
− D&A	(119)	(141)	(163)	(185)	(205)
EBIT	297	930	1,378	1,709	1,955
NOPAT (EBIT × (1−t 22.5%))	230	721	1,068	1,325	1,515
+ D&A	119	141	163	185	205
− Capex	(225)	(243)	(262)	(283)	(306)
− Δ working capital	2,380	(1,204)	(1,066)	(843)	(531)
Free cash flow to firm	2,505	-585	-97	383	884
Forward WACC (that year)	21.4%	19.4%	18.0%	16.3%	15.0%
Discount factor (cumulative)	0.824	0.690	0.585	0.503	0.437
PV of FCFF	2,063	-403	-56	193	386

Δ working capital shown as (build) / release. FY26E's large positive cash flow is a one-off working-capital release as revenue contracts — it is collection of the past, not earning power.

DCF bridge	EGP mn
Σ PV of explicit FCFF (FY26–30E)	2,182
Terminal value (g = 5.0%, ROIC-consistent: 10.3% ROIC × 48% reinvestment)	8,193
PV of terminal value (at the year-5 factor)	3,581
Enterprise value	5,763
Terminal value as % of EV	62%
less: net debt (FY25: disclosed facilities − est. cash)	(10,200)
less: non-controlling interests	(0)
Equity value — INTRINSIC (EV does not cover the debt)	(4,437)
Equity value — floored at zero (limited liability)	0
per share (3,313.5 mn shares) — nominal option-value placeholder	EGP 0.01

Four honesty notes, and they carry the study. First, the base-case DCF says the enterprise is worth EGP 4.4 bn LESS than its net debt: at record copper (which inflates the working capital the business must carry) and pre-windfall conversion economics, the discounted cash flows do not cover the disclosed EGP 10.9 bn facilities. A share cannot be worth less than zero — limited liability floors the equity — so what a holder owns at the base case is an option on the bull scenario, not a claim on current cash flows. Second, 62% of the EV sits in the terminal value, which is why §1.9 grids the terminal rate and the this-year rate independently. Third, the terminal is ROIC-consistent and the arithmetic cuts AGAINST the company: at a terminal return on capital of 10.3% versus a 15.0% terminal cost of capital, growth SUBTRACTS value — funding 5% growth absorbs 48% of NOPAT to earn less than the capital costs, so the g-sensitivity gradient runs the unusual way (more growth, less value) by construction, not by error. Fourth, every 1 bn of EV is worth ~EGP 0.30/share, which is why the bear–bull span (0.01–1.53) is so wide: the bull case is not a tweak — it requires windfall conversion economics to partially return.

1.2 Book value and replacement — the asset lens

ELEC has never paid a dividend, so a dividend lens is unavailable; the asset lens takes its place. Book equity is ~EGP 4.1 bn (FY24 disclosed ~3.6 bn plus FY25 profit, nothing paid out), i.e. book value per share ≈ EGP 1.24. What justifies a premium or discount to book is the return the book earns: at a sustainable ~14% ROE (normalized profit ~EGP 600–750 mn on a growing book — well below the 35%+ devaluation-era prints) against a ~17.3% normalised cost of equity and 5% growth, the justified multiple is (ROE−g)/(Ke−g) ≈ 0.73× book → EGP 0.91/share. The market pays ~1.8× book today — a multiple that needs ROE near 27% to justify, a level the company only ever reached with devaluation at its back.

Book-lens build	Bear	Base	Bull
Sustainable ROE	11%	14%	18%
Justified P/B = (ROE−g)/(Ke−g)	0.49×	0.73×	1.16×
Fair value (× BVPS 1.24)	0.61	0.91	1.43

1.3 Relative multiples

The only listed pure-play comparable in the market is El Sewedy Electric — forty times ELEC's revenue, export-hedged, moderately levered — trading at ~10.4× trailing earnings and ~6× EV/EBITDA. Riyadh Cables (Tadawul) trades far richer (18× / 15×) in a different market with 0.27× D/E and 39% ROE. ELEC merits a clear discount to Elsewedy's multiple: 2.5× levered, domestically concentrated, no dividend record, and currently loss-making. We mark the lens on mid-cycle FY27E EBITDA at 4.5–6.5× EV/EBITDA, net of the debt remaining after the FY26E working-capital release.

Relative basis	Bear	Base	Bull
FY27E EBITDA (EGP mn)	1,071	1,071	1,071
EV/EBITDA multiple	4.5×	5.5×	6.5×
less net debt (end-FY26E)	(9,873)	(9,873)	(9,873)
Fair value (EGP/share)	0.05	0.05	0.05

Relative base ≈ EGP 0.05 — the bluntest lens in the study: at ANY peer-anchored multiple (4.5–6.5×) on realistic mid-cycle EBITDA, the disclosed debt exceeds the entire enterprise value and the equity is worth nothing; the lens is shown floored at EGP 0.05. For the equity to be worth spot on this lens, the market must apply Elsewedy's own multiple to EBITDA that has not been printed since the windfall years.

1.4 Normalized earnings power — where this sits in the cycle

Cycle position first: FY2023–24 were the top — devaluation repriced the finished-goods book faster than the cost base, and net margin hit 14.4% then 9.6%. FY2025–26 is the washout: revenue −21.5% then −44% in 1Q26, a net loss, and margin compression as stable-pound competition returned. Mid-cycle is neither: we take FY28E-scale operations from the tonnage build (13.4 kt at 54% utilization, revenue ~EGP 12.5 bn, EBITDA ~12%) with a normalised funding cost (15% on net debt CONDITIONALLY reduced to ~EGP 6 bn — i.e. this lens assumes the balance sheet has already been fixed, which the base-case cash flows do not achieve) → normalized net profit ≈ EGP 371 mn, EPS ≈ 0.11. At a justified through-cycle 6.5× (a deep discount to Elsewedy's 10.4× for leverage, concentration and float), the lens lands at EGP 0.73.

Normalized-earnings basis	Bear	Base	Bull
Mid-cycle net profit (EGP mn)	155	371	578
Justified P/E	5.5×	6.5×	8.0×
Fair value (EGP/share)	0.26	0.73	1.40

1.5 Synthesis — four lenses, one field

The DCF carries the heaviest weight because it is the only lens that prices the working-capital problem explicitly; the relative lens anchors what a buyer pays for comparable cash flow; normalized earnings carries the recovery thesis; the book lens anchors the downside.

Lens	Weight	Bear	Base	Bull
FCFF DCF (glide schedule)	40%	0.01	0.01	1.53
Relative (EV/EBITDA)	20%	0.05	0.05	0.05
Normalized earnings	20%	0.26	0.73	1.40
Book / replacement	20%	0.61	0.91	1.43
Weighted central		**0.19**	**0.34**	**1.19**

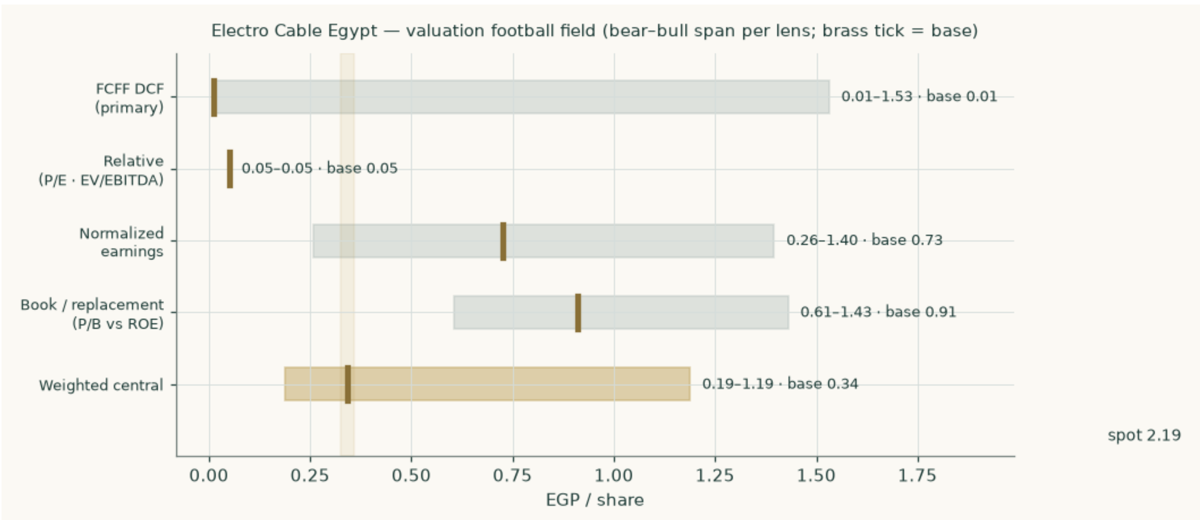

Figure 1 — Valuation football field. Bars span bear–bull per lens; the brass tick is each base case; the gold band is the blended central range; the dark line is spot.

Central fair value ≈ EGP 0.34/share, 84% below spot. Note what the field is saying: the four lenses AGREE — 0.05 to 0.73 at base — and spot sits outside the whole cluster, at the far edge of the bull span. The disagreement in this study is not between the lenses; it is between all of them and the price.

1.6 The drivers — a bottom-up tonnage build, calibrated on disclosed anchors

The forecast is built from physical volumes and unit economics, not top-line growth rates. Revenue = tonnes shipped × price per tonne, where price per tonne = LME copper × EGP/USD × a fabrication uplift of 1.387× (copper is ~72% of a power-cable price — industry norm, LME moves passed through quotations). EBITDA = tonnes × conversion EBITDA per tonne. Margins are OUTPUTS of this build, not assumptions. The company discloses no volumes, so the build is calibrated on what IS disclosed — revenue, copper, the currency — and validated against the stated ~25,000 t/yr capacity:

Implied history	LME avg ($/t)	EGP avg	Price/t (k EGP)	Implied volume (kt)	Utilization	Conv. EBITDA/t (k)
FY23	8,478	30.7	361	24.0	96%	111
FY23 at the parallel rate (~38)	8,478	38.0	447	19.4	78%	—
FY24 (the validation year)	9,147	45.3	575	24.0	96%	146
FY25	10,000	49.5	687	15.8	63%	182
Q1-2026, annualized	12,600	50.4	881	9.5	38%	11

The fabrication uplift (1.387×) is set from the industry copper-share norm, NOT fitted to this table — that FY24 then back-solves to 24.0 kt, 96% of the stated capacity in the boom year, is the validation. The decomposition's central finding: the revenue collapse is a VOLUME collapse (utilization ~96% → ~38%), partly masked by record copper; and conversion EBITDA per tonne collapsed with it (146 → 11 k EGP/t) as fixed costs lost their absorption. FY25's 182 k/t is inflated by copper inventory gains. Capacity figure is single-sourced and possibly parent-only — utilization is indicative.

The forecast drivers, on the same axes:

Driver	FY26E	FY27E	FY28E	FY29E	FY30E
Volume (kt)	10.4	11.9	13.4	14.8	16.0
Utilization	42%	48%	54%	59%	64%
LME copper ($/t) — flat, no house view	12,600	12,600	12,600	12,600	12,600
EGP/USD (~3%/yr crawl)	50.4	52.0	53.5	55.0	56.5
Price per tonne (k EGP)	881	909	935	961	987
Revenue (EGP mn)	9,160	10,814	12,529	14,226	15,798
Conversion EBITDA/t (k EGP)	40	90	115	128	135
EBITDA (EGP mn) — output	416	1,071	1,541	1,894	2,160
EBITDA margin — output	4.5%	9.9%	12.3%	13.3%	13.7%

Volume recovery to 64% utilization by FY30E (EETC's EGP 45 bn plan, the EU €690 mn package, interconnector follow-on) — still below the FY23–24 near-full prints. Conversion EBITDA/t recovers to 135 k by FY30E: nominally below FY24's 146 k despite five years of EGP inflation, and, as a share of realized price (13.7%), matching the PRE-windfall 2022 norm (~12%) rather than the devaluation-era 25%. Working capital stays on its intensity glide (112% → 88% of revenue) — copper strength therefore inflates the working capital the model must fund, which is exactly the mechanism the tonnage build exists to price. Every driver above is a stated, sensitized house judgment (§1.9).

1.7 The crux — working capital first, margins second, rates third

Three judgments drive this valuation, in order of size. FIRST, collection. Working capital stands near ~EGP 12.6 bn — 117% of a full year's revenue — against ~76% a year earlier: copper-inflated inventory plus receivables that grew as revenue shrank, funded by EGP 10.9 bn of disclosed bank facilities. The DCF's FY26E cash flow is dominated by a ~EGP 2.9 bn assumed release as sales contract; if those receivables do not collect (state-linked customers, dealer credit), the release never happens, debt stays ~EGP 11 bn at 22% money, and the equity rounds to nothing — that is the bear case's mechanism, not rhetoric. Each 5 points of terminal working-capital intensity is worth roughly EGP 0.15–0.20/share. SECOND, the margin. FY24–25 EBITDA margins near 25% carried devaluation inventory gains; the DISCLOSED 1Q26 lines put the trough on the table — gross margin 5.7%, operating profit zero. The model's 16–18% mid-cycle is a judgment between the proven trough and the windfall ceiling — each 15% on conversion EBITDA/t is worth roughly EGP 0.25–0.35/share (§1.9 grid). THIRD, the rate path: at 22% money, finance expense consumes the operating line; at the terminal 15%, the same business supports a meaningful EPS again. The easing calendar is therefore load-bearing — which is exactly why it is built into the discount schedule rather than averaged away.

1.8 Macro and country — rates, the pound, copper, and the sourced cost of capital

Egypt held its policy corridor at 19.00/20.00% in July 2026 (third consecutive hold, after 825bp of cuts Apr-25→Feb-26) with inflation at 14.3% and a 7%±2pp target for late-2026, 5%±2pp for 2028. The pound has been range-bound (47–52/USD) since the March-2024 float — two years of nominal stability against 14–28% inflation is a large REAL appreciation, which is precisely what un-winds windfall cable margins: copper is fully imported and USD-priced (up ~51% y/y), sales are domestic and EGP-priced. The demand side is genuinely strong — EETC's

EGP 45 bn transmission plan, the EU's €690 mn grid package, the 95%-complete Egypt–Saudi interconnector — but pass-through pricing means volume recovers before margin does. Every cost-of-capital input below is sourced (full provenance in the Source Register):

Component	Value	Source / note
Egypt 10Y local yield (observed)	22.31%	investing.com print, 21-Jul-2026; May-26 window avg 21.3% corroborates
less sovereign default spread (CDS)	−3.40%	The local yield already prices default risk; charging it again in the ERP would double-count
= risk-free for the equity build	18.91%	CDS basis (rating basis: 22.31 − 6.37 = 15.94%)
Equity risk premium — Egypt (CDS-based, primary)	9.41%	Damodaran original country-risk file, Jan-2026 (rating-based 13.94% shown in sensitivity)
Beta (own regression, weekly, 5yr)	0.964	vs 30-name equal-weight EGX composite: R^2 0.222, n=257, SE 0.113, CI90 [0.78, 1.15] — passes the usability gate; not weak-flagged
Cost of equity Ke	27.98%	= 18.91 + 0.964 × 9.41
Cost of debt Kd (pre-tax, marginal EGP)	22.0%	Corridor + credit margin; checked against effective rates 23.5% (FY24) and 21.7% (FY25, on the disclosed debt path) — inside 150bp
Debt currency	~100% EGP (presumption, flagged)	No facility disclosure reachable; no USD facility found in any search — the gap is stated, not assumed away
Weights E / D — explicit window	40% / 60%	Market cap 7.26 bn vs disclosed FY25 bank facilities 10.9 bn
WACC — explicit window (this year)	21.42%	CDS-primary (rating alternative 23.20%)
Terminal rf (norm-built)	10.5%	CBE's own Q4-2028 inflation target 5% + 5.5pp real-rate convention
Terminal ERP · terminal Kd	7.0% · 15.0%	Normalised below crisis level · Egyptian long-run corporate norm 14–16%
Weights E / D — terminal (normalized)	60% / 40%	The steady state presupposes deleveraging; today's ~60% distress weight into perpetuity would be circular (the equity weight depends on the DCF's own output). Conservative direction: more weight on the dearer equity leg
WACC — terminal	15.00%	Capitalises the terminal value; reached via the glide below

The forward schedule, year by year — the glide shape is the forward cost-of-debt path's own cumulative progress, so the discount rate and the interest forecast normalise on one easing calendar:

	FY26E	FY27E	FY28E	FY29E	FY30E
Forward Kd path (pre-tax)	22.0%	20.0%	18.5%	16.8%	15.5%
Forward Ke (same easing calendar)	28.0%	24.7%	22.2%	19.4%	17.2%
Glide fraction	0%	31%	54%	80%	100%
Forward WACC	21.4%	19.4%	18.0%	16.3%	15.0%
Cumulative discount factor	0.824	0.690	0.585	0.503	0.437

A pound arriving 31-Dec-2030 carries the same 0.437 discount factor whether it arrives as a forecast cash flow or inside the terminal value — the common sell-side construction that discounts the terminal alone at a lower rate manufactures value by relabelling, and is not used here.

1.9 Sensitivity — the rate, the growth, the margin, the collection, and the beta

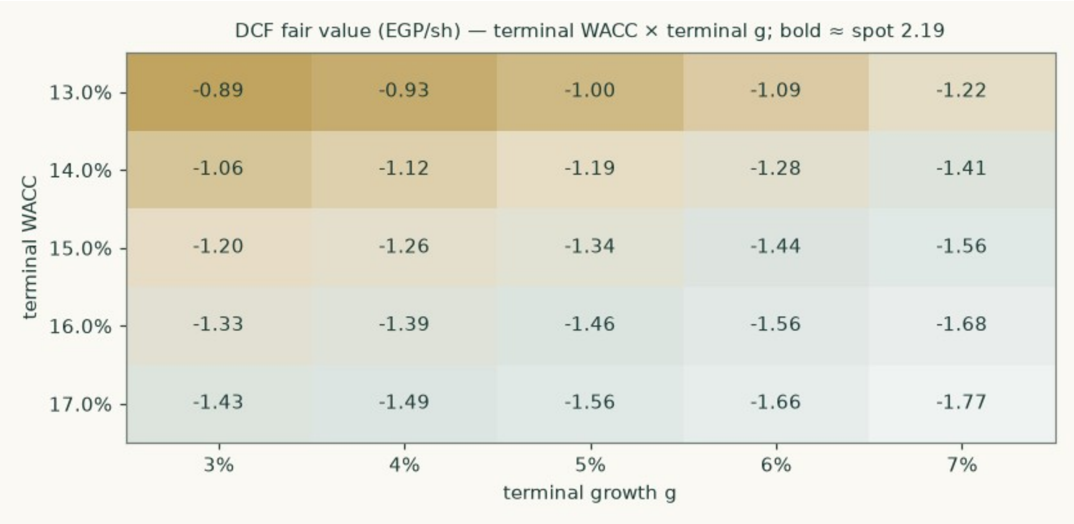

Figure 2 — DCF fair value (EGP/share) across terminal WACC × terminal growth. Bold cells sit nearest spot.

Terminal WACC \ g	3%	4%	5%	6%	7%
13.0%	-0.89	-0.93	-1.00	-1.09	-1.22
14.0%	-1.06	-1.12	-1.19	-1.28	-1.41
15.0%	-1.20	-1.26	-1.34	-1.44	-1.56
16.0%	-1.33	-1.39	-1.46	-1.56	-1.68
17.0%	-1.43	-1.49	-1.56	-1.66	-1.77

DCF fair value (EGP/share) across terminal WACC × terminal growth. Base cell 15.0% × 5% = 0.01 (equity floored at zero — the base EV does not cover the net debt). Note the g-gradient runs the UNUSUAL way — more growth, less value — because the terminal return on capital (10.3%) sits below the terminal cost of capital (15.0%): growth that earns less than it costs subtracts value. This is the construction working correctly, not an error.

Explicit \ terminal WACC	13.0%	14.0%	15.0%	16.0%	17.0%
19.4%	-0.93	-1.12	-1.28	-1.41	-1.52
20.4%	-0.96	-1.16	-1.31	-1.44	-1.54
21.4%	-1.00	-1.19	-1.34	-1.46	-1.56
22.4%	-1.03	-1.22	-1.37	-1.49	-1.59
23.4%	-1.07	-1.25	-1.39	-1.51	-1.61

Explicit-window WACC × terminal WACC, each varied independently around its own base — what the valuation needs the ECONOMY to do, separate from what it needs the company to do.

Conversion-EBITDA/t shift \ terminal NWC %	100%	94%	88%	82%	76%
-30%	-2.74	-2.52	-2.31	-2.09	-1.87
-15%	-2.26	-2.04	-1.82	-1.61	-1.39
+0%	-1.77	-1.56	-1.34	-1.12	-0.90
+15%	-1.29	-1.07	-0.86	-0.64	-0.42
+30%	-0.81	-0.59	-0.37	-0.15	0.06

The company grid: conversion economics × working-capital collection. +30% on conversion EBITDA/t (≈175 k EGP/t — a partial return of the windfall) AND collection back toward FY24's ~76% intensity still does not reach spot on this lens alone; the market price needs the bull case on every axis at once, including the cost of capital.

Beta	Ke	WACC (explicit)	WACC (terminal)	DCF (EGP/sh)
0.60	24.6%	20.0%	13.5%	-1.09
0.78 ← CI low	26.2%	20.7%	14.2%	-1.23
0.80	26.4%	20.8%	14.3%	-1.24
0.96 ← used	28.0%	21.4%	15.0%	-1.34
1.00	28.3%	21.6%	15.2%	-1.36
1.15 ← CI high	29.7%	22.1%	15.8%	-1.44
1.30	31.1%	22.7%	16.4%	-1.51

Beta sensitivity spanning the regression's own 90% confidence interval plus the fixed house anchors. The valuation conclusion does not turn on the beta.

2 Technical and price structure

The tape is neutral: a stock that de-rated hard (−28% year-to-date, −21% over twelve months) and is now basing. Price sits above the 20/50/100-day averages but below a still-falling 200-day near 2.40 — the signature of a countertrend rally inside a larger downtrend, powered by the July-2026 EGX small-cap rotation rather than company news. RSI in the mid-50s and a flat MACD confirm: no strong signal either way. The deep floor is the 52-week low at 1.90; the ceiling that matters is the 200-day / 2.40–2.50 shelf, then the February-2026 block-trade zone near 2.80.

Indicator	Reading	Signal
Spot	EGP 2.19	—
SMA 20 / 50	EGP 2.18 / 2.14	Above both — short-term stabilising
SMA 100 / 200	EGP 2.14 / 2.40	Above 100 · below a falling 200 — larger trend still down
RSI (14)	53.9	Neutral
MACD (12,26,9)	+0.011 line / +0.015 signal / -0.004 hist	Flat, momentum fading
52-week range	EGP 1.90 – 3.36	Lower third of the range
Realized vol (252d)	27.8%	Moderate for an EGX small-cap
12-month / YTD return	-21% / -28%	De-rating year

Figure 3 — Price versus the moving-average stack, last 260 sessions.

For the probabilistic work this matters one way: a basing, high-carry tape thickens the near-term upside tail even where the fundamental work says value sits far lower. The technical and fundamental pictures disagree here, and §6 reads the resulting probability zones without forcing a reconciliation.

3 Monte Carlo — a probabilistic price map

The probability read below opens the section, per house presentation: computed from the same 50,000 paths as everything that follows, it is a summary of the distribution, not an input to it.

The probability read (3 months)	
P(price above spot)	61%
P(+10%) vs P(−10%) — the odds	37% vs 18% · 2.1 : 1
Median level, and its move	EGP 2.29 (+4.7%)
The 50% band (25th–75th)	EGP 2.06 – 2.55
Touch(+10%) / touch(−10%) at any point	60% / 39%

We simulate 50,000 three-month price paths with the house engine, exactly as fitted on the 30-name Egyptian panel: width from a gap-aware Yang–Zhang variance forecast (annualised ≈ 40% at this anchor), Student-t(6) tails calibrated on the panel, and drift anchored on the cost of carrying Egyptian money (the 19.50% policy-corridor rate) — deliberately nothing else. No margin view, no fair-value gap, no analyst judgment enters the drift: the same configuration was walk-forward tested on this stock's own history at seventeen non-overlapping quarterly origins and beat a random-walk benchmark with correct interval coverage, which is the only reason it is published. The upward median is the price of time in a 19.5% currency, not a view that the stock should rise.

By design the paths diffuse from spot as near-term price and deliberately do not embed the fundamental value gap of §1. §3 maps where price could go from today; §1 says what the business is worth. When they disagree — as they do here — that disagreement is information, and §4 reads it.

Forces and events on the watch list — context for reading the distribution, not drift inputs (the engine is deliberately carry-only):

Continuous force	**Dir.**	**Discrete event (next 3 months)**	**When / note**
EGX70 small-cap rotation / retail flows	±	H1-2026 results publication	~mid-Aug-2026 — the single largest scheduled

			event
CBE easing resumption (finance-cost relief)	+	CBE MPC meetings	20-Aug / 01-Oct / 12-Nov-2026
Copper at records (input cost, WC strain)	−	Egypt–Saudi interconnector commissioning	Final testing since Feb-2026
EGP stability (real appreciation vs margins)	−	EETC tender awards (EGP 45bn plan)	Through FY26/27
Grid-capex demand cycle	+	Further controlling-group block sales	Pattern: Jan/Feb/Apr/Jul-2026
Receivables collection cycle	±	EGP step-move (either direction)	Range-bound 47–52 since the float

Percentile map (EGP/share)

Horizon	p5	p25	p50	p75	p95
1 month	1.91	2.10	2.22	2.35	2.59
3 months	1.71	2.06	2.29	2.55	3.07

Lead with the 50% band, not the tails: a quarter ahead, half of all paths finish between roughly EGP 2.06 and 2.55; at one month the band is EGP 2.10–2.35. The 5–95% cone is context, not a forecast.

Figure 4 — Forward price cone to 3 months. The brass dashed line marks the fundamental central — far below the whole cone: the tape would have to fall out of its own distribution to reach it within a quarter.

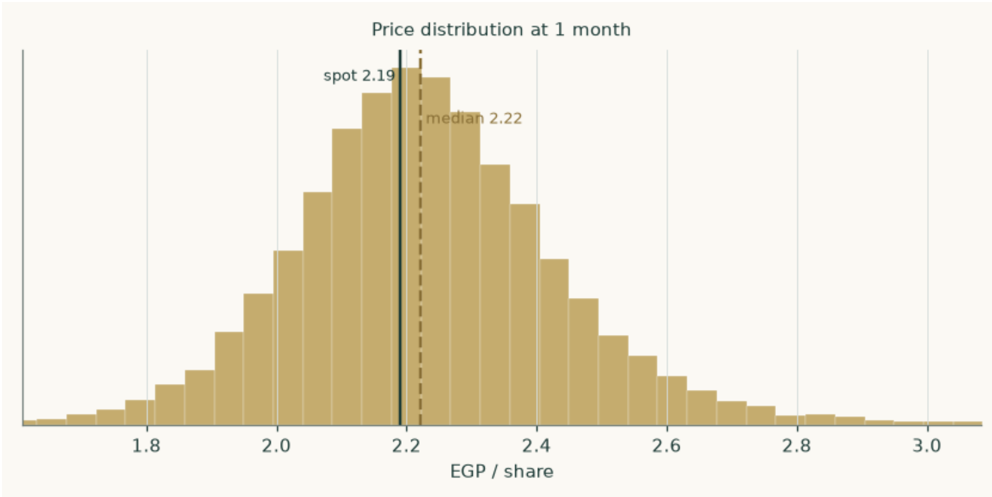

Figure 5 — Price distribution at 1 month.

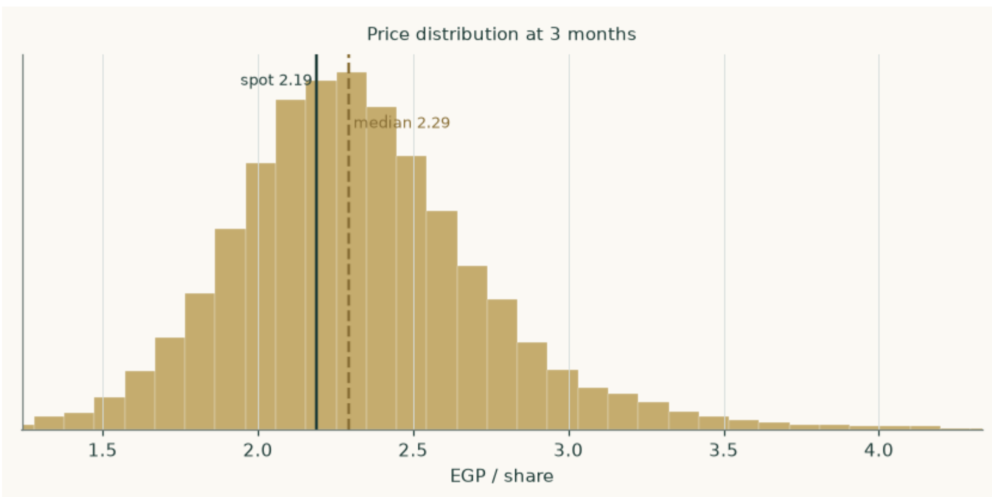

Figure 6 — Price distribution at 3 months.

Level-touch ladder

The probability that price touches a level at any point by the horizon (running max for upside, running min for downside):

Level (EGP)	1-month touch	3-month touch	Note
3.00	1%	10%	Post-results re-rating zone
2.75	3%	22%	Feb-26 block-trade zone
2.50	14%	47%	The 200-day shelf
2.35	40%	70%	SMA-200 first test
2.05	31%	54%	July base / SMA-50 zone
1.90	8%	27%	52-week low
1.70	1%	9%	Below the low — bear-case zone

4 Comparison of the lenses, and a verdict

Three readings sit side by side, and they genuinely disagree. The fundamental lenses cluster at EGP 0.05–0.73 with a central of 0.34 — roughly 84% below the market. The technical picture is neutral: a basing chart inside a larger downtrend, no strong signal. The probabilistic map's median (2.29) sits slightly ABOVE spot — but read it for what it is: the engine anchors drift on the 19.5% cost of Egyptian money and prices the stock's own path; it does not know what the business is worth. The fundamental work says the price needs the bull scenario to be right; the tape says the market is not currently walking away from that bet; the simulation says a quarter is too short for the gap to close by drift alone.

Lens	Reads	Central / implication
Fundamental (4-lens)	Meaningfully overvalued	EGP 0.34 (-84%)
Technical	Neutral — basing inside a downtrend	Support 2.05 / 1.90; resistance 2.40 (200d) / 2.80
Monte Carlo (3-month)	Carry-tilted, wide	Median 2.29; p5–p95 1.71–3.07

Verdict (a fair-value read, not a recommendation). ELEC reads severely overvalued on fundamentals (-84% to the central estimate), and the bottom-up build sharpens the statement: at record copper and pre-windfall conversion economics, the enterprise is worth less than its disclosed EGP 10.9 bn of bank debt — the base-case equity is an option, not a claim — and the modelled equity P&L path breaches book solvency by FY29E unless margins or volumes outrun the base case. Three checkable legs carry the read: the earnings the market capitalises were devaluation-era windfalls the company has stopped printing (1Q26: gross margin 5.7%, operating profit zero); implied volumes have fallen to ~38% of capacity while working capital of ~117% of revenue is funded at 22% money; and the controlling group has been selling at EGP 2.00–2.21 throughout 2026. What would change the read is equally specific: an H1-2026 print showing conversion EBITDA per tonne back above ~100,000 EGP without currency help, receivables actually collecting (operating cash flow positive, debt falling), or a step-devaluation — the one event that genuinely reruns the windfall. Even then, note the ceiling: the modelled bull central is 1.19. The bear–bull span (EGP 0.19–1.19) is wide, humility is warranted on the derived lines, and the tonnage build rests on a single-sourced capacity figure — but no reading of the disclosed numbers we can construct supports the current price. We publish the distribution, not a target.

5 Catalysts to watch

- **H1-2026 results (~mid-August 2026).** The single most important print of the year: whether the 1Q26 loss was the trough. Watch three lines — gross margin (the ~14% implied trough vs any recovery), receivables (collection or further build), and finance cost (the first read on easing pass-through).
- **CBE MPC meetings (20-Aug, 01-Oct, 12-Nov 2026).** Each 100bp off the corridor cuts ~EGP 110 mn from annual finance cost at the disclosed debt load and compresses the discount schedule — the most mechanical catalyst.
- **EETC tender awards under the EGP 45 bn FY25/26 plan.** Direct order-book demand; ELEC’s ~2/3 revenue exposure to the power sector makes tender flow the volume driver.
- **Egypt–Saudi interconnector commissioning.** In final testing since Feb-2026; commissioning validates the HV build-out cycle and pulls forward follow-on grid spending.
- **Copper.** At records (+51% y/y) with Goldman scenarios above $14,000/t: every leg higher inflates ELEC’s working capital and funding need; a copper break lower would be a quiet balance-sheet relief.
- **The pound.** A step-devaluation would reflate cable margins and inventory (the FY23–24 mechanism) at the cost of the funding base; continued stability keeps the margin squeeze on. This stock is, in effect, a devaluation call option the market keeps partly priced.
- **Controlling-group block sales.** Gadwa/Alhsn/Mashareq sold through Jan/Feb/Apr/Jul-2026 at EGP 2.00–2.21. Further distribution caps rallies; a cessation — or a strategic buyer — changes the flow picture.

- **Any audited-statement access.** Publication of the full FY25/H1-26 statements (receivables ageing, facility schedule, capex) would resolve the derived lines in this model — in either direction.

6 Reading the probability zones

Translating the three-month distribution into plain zones, anchored on spot EGP 2.19 and the fair-value cluster:

Zone (3 months)	Range	Approx. probability	What it would mean
Deep downside	< EGP 1.80	~8%	Collection fails / H1 loss deepens; breaks the 52-week low toward the fundamental reads
Lower band	EGP 1.80–2.05	~16%	De-rating resumes; the July base gives way
Around spot	EGP 2.05–2.35	~32%	Status quo: small-cap rotation holds the price, fundamentals unresolved
Upper band	EGP 2.35–2.70	~28%	H1 relief + easing resumption; 200-day reclaimed
Strong upside	> EGP 2.70	~16%	Margin-recovery evidence or devaluation trade returns; block-trade zone retested

Note what the zone table cannot say: nothing in a three-month price map adjudicates the fundamental question. Even the deep-downside zone stops far above the DCF's base value — if the fundamental work is right, the reckoning is slower than a quarter. The map describes the tape's physics; the thesis lives in §1.

7 Caveats and what would change our mind

- **The statements gap is narrower than at first build, but still real.** The Q1-2026 income-statement lines and the FY25/FY24 bank-facilities balances ARE disclosed (recovered from press coverage of the EGX filings); interest expense, capex, the working-capital split and facility-level terms remain DERIVED. The FY24 triangulation closing within 0.8% earns the derivations a place in the model, but a single audited disclosure could move the net-debt anchor by ±1 bn — worth ±EGP 0.30/share. Every derived line is flagged in §1.6 and the Source Register.
- **The base-case equity P&L path raises a genuine solvency question.** Charging 22%-gliding-to-15% money on the disclosed debt against recovering-but-thin conversion economics, the modelled book equity erodes from ~EGP 4.1 bn to below zero by FY29E, with net debt rising toward EGP 17 bn. This is a modelled path on derived lines, not an audit opinion — but it is what the disclosed numbers imply if nothing improves, and it explains why the DCF equity is an option rather than a claim. The exits are named in §4: collection, conversion recovery above ~100k EGP/t, a step-devaluation, or a controlling-group recapitalisation.
- **The working-capital release is an assumption, not a fact.** FY26E's cash flow leans on ~EGP 2.6 bn of collection as revenue contracts. Receivables from state-linked customers can age for years; if intensity stays above ~100% of revenue, the bear case is the base case.
- **Margin normalisation is a judgment between poles.** Nobody outside the company knows whether 25% EBITDA margins were entirely windfall; the 17.5–19% mid-cycle here is argued, sensitized, and could be wrong in either direction. The §1.9 company grid is the honest statement of how much this matters.

- **Terminal-value dependency.** 62% of the EV is terminal value at a 9.1-pt terminal spread; the study is partly a bet on Egyptian normalisation arriving on the central bank's own schedule.
- **A devaluation would rescue the bull case.** The FY23–24 windfall mechanism — EGP falls, copper-linked prices reprice, inventory gains — is repeatable. This study's base case assumes the pound holds; readers who expect another step-move should weight the bull column, and note that the same event punishes the funding side and the country risk premium.
- **The market may be pricing flow, not value.** A 20%-float EGX70 name in a retail rotation can stay away from fundamental value for a long time; overvaluation is a statement about the destination, never the timetable.
- **Concentrated ownership cuts both ways.** The ~80% controlling group has been selling — but it could equally take the company private, restructure the debt, or inject assets; control events are not in the model.
- **The simulation prices the path, not the thesis.** Its median sits above spot because Egyptian carry is 19.5%; do not read that as the model disagreeing with itself — the two clocks measure different things.

Appendix A Financial statements

Consolidated figures as available through bourse-disclosure reporting of the company's EGX filings; derived lines are marked (d) and their construction is stated in §1.6 and the Source Register. The five-year forecast is the model build (companion Excel, formula-linked to its Assumptions sheet). EGP million.

A.1 Income statement — 3-year historical + 5-year forecast (consolidated, EGP mn)

Line	FY23	FY24	FY25	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	8,673	13,778	10,819	9,160	10,814	12,529	14,226	15,798
EBITDA	2,661 (d)	3,490	2,871 (d)	416	1,071	1,541	1,894	2,160
EBITDA margin	30.7%	25.3%	26.5%	4.5%	9.9%	12.3%	13.3%	13.7%
D&A	(61) (d)	(90)	(76) (d)	(119)	(141)	(163)	(185)	(205)
EBIT	2,600 (d)	3,400	2,796 (d)	297	930	1,378	1,709	1,955
Net finance cost	(990) (d)	(1,700) (d)	(2,150) (d)	(2,244)	(1,975)	(2,261)	(2,397)	(2,464)
Earnings before tax	1,610	1,700	646	(1,947)	(1,044)	(883)	(688)	(510)
Income tax (22.5%)	(362)	(372)	(145)	—	—	—	—	—
Net profit (attributable)	1,248	1,328	500	(1,947)	(1,044)	(883)	(688)	(510)
EPS (EGP)	0.38	0.40	0.15	(0.59)	(0.32)	(0.27)	(0.21)	(0.15)

Historical revenue/NP/EBT/tax: bourse-reported. (d) = derived (FY24 closes to the reported NP within 0.8% — the triangulation that licenses the method). Forecast net-finance-cost line uses the forward Kd path on the modelled debt schedule; the equity P&L is shown for completeness — the valuation runs on FCFF, which is independent of the financing line.

A.2 Balance sheet — condensed house layout (consolidated, EGP mn)

Line	FY22	FY23e	FY24	FY25e	FY27E	FY30E
Total assets (model basis fwd)	4,960	10,000 (e)	14,970	16,460	13,843	16,283
of which net working capital	n/d	~7,000 (e)	~10,500 (d)	12,640 (d)	11,463	13,903
Net debt	n/d	n/d	8,172	10,200 (d)	12,223	17,041

Equity attributable	n/d	n/d	3,600	4,100 (d)	1,109	-972
Net debt / equity	n/d	n/d	227%	249% (d)	1102%	-1753%

(e) = estimate bounded by disclosed prints; (d) = derived from disclosed totals (construction in §1.6). FY22/FY24/FY25 total assets, the FY24 debt/cash/equity set and the FY25 facilities are sourced; the FY23 year-end balance sheet was never found (flagged gap). Forecast columns are the model's clean-surplus roll-forward — and they are the honest bad news: on the base case, book equity erodes toward zero by FY29–30E while net debt compounds. See §7, first two caveats.

A.3 Cash flow markers and the working-capital story

Marker	FY23	FY24	FY25	FY26E
Operating cash flow	negative (agg.)	negative (agg.)	~breakeven (d)	+2,730 (release)
NWC as % of revenue	~81% (e)	~76% (d)	~117% (d)	112%
Capex (derived through D&A)	~104 (d)	~165 (d)	~130 (d)	225
Dividends paid	0	0	0	0 — never paid

The aggregator flag "operating cash flow is negative; debt is not well covered" (FY24 vintage) is the single most important sentence in ELEC's public record: three years of reported profits never became cash — they became receivables and inventory, funded by debt at 20%+ money.

Appendix B Peer frame, risk register — and the research register

B.1 Peers and the sector frame

Name	Mkt cap	P/E	EV/EBITDA	D/E	Note
El Sewedy Electric (EGX: SWDY)	EGP 196 bn	10.4×	~6.0×	moderate	FY25 revenue EGP 281 bn, NP 17.3 bn; W&C segment +66% — the sector's demand proof
Riyadh Cables (Tadawul: 4142)	SAR 18.0 bn	18.0×	15.0×	0.27×	What the market pays for the same industry with a clean balance sheet
Electro Cable Egypt (ELEC)	EGP 7.3 bn	14.6× trailing	~6.1× on FY25e	~2.5×	On depressed, now loss-making earnings; ~5.5× on FY24 windfall EPS
Giza Cables (private)	—	—	—	—	The other mid-tier player; no public financials

Sector structure: one giant (Elsewedy, with scale, exports and funding access) above a tier of mid-caps competing on price and local content in government tenders. Demand is the strongest it has been in a decade (grid capex, interconnection, renewables hookups) — but pass-through pricing means the demand cycle rescues volumes before it rescues margins, and funding cost decides who banks the difference.

B.2 Risk register

Risk	Direction	Where it is priced
Receivables fail to collect / further WC build	Severe negative	Bear DCF (0.05); the central weight on the DCF
Margins never recover past ~14%	Negative	Company grid, bear column
Copper spikes further (WC funding strain)	Negative	Qualitative; enters through the NWC glide

EGP step-devaluation	Positive for margins, negative for funding/CRP	Bull margin column; not in the base case
Easing cycle stalls (inflation re-accelerates)	Negative	Explicit × terminal WACC grid
Controlling-group distribution continues	Negative (flow)	Not in the model — a market-structure risk
Control event (buy-out, restructuring, asset injection)	Either	Not in the model
Statement access resolves derived lines adversely	Either	§7 first caveat; ±EGP 0.30/share on the ND anchor

B.3 The research register — four layers, dated, negative searches included

Research for this study ran outward-in — world, country, industry, company — before any forecast driver was set. The register below condenses what was found and where; the companion Source Register document carries the full input-by-input listing.

Layer	Class	Finding (condensed)	Source	Date
Global	D	Copper +51.6% y/y to ~$6.63/lb COMEX / ~$12.8k LME avg; US 15% tariff from Jan-27; Goldman >$14k scenario	TradingEconomics; INN; TradingKey	05-Aug-26
Global	S	Grid renewal + data centers drive global W&C demand (~6.5% CAGR to $409bn by 2034)	Fortune BI; Mordor; CRU	2026
Global	B	Fed held 3.50–3.75% on 29-Jul-26 (fifth straight hold)	Federal Reserve	29-Jul-26
Country	B/D	CBE held 19.00/20.00% on 09-Jul-26, third straight hold; 825bp cut Apr-25→Feb-26; next MPC 20-Aug	CBE via FocusEconomics	09-Jul-26
Country	B	Inflation 14.3% (Jun-26); target 7±2pp Q4-26, 5±2pp Q4-28	CBE CPI release	09-Jul-26
Country	B	Egypt 10Y ~21.3% (May-26 avg); 22.31% print 21-Jul-26; 5Y CDS 270→330bp	investing.com; MoF; MacroMicro	May–Jul-26
Country	S/D	EETC EGP 45bn FY25/26 plan; EGP 26.5bn spent FY24/25; EU €690mn package 15-Jun-26 (22GW hookups by 2030)	DNE; EEAS	Nov-25–Jun-26
Country	B	EGP ~50.3; range-bound 47–52 since Mar-24 float = large real appreciation	Bloomberg; The National	Aug-26
Country	B	Corporate tax confirmed 22.5%, unchanged	PwC Tax Summaries	2026
Industry	S	Egypt power-cable market ~6.7% CAGR 2026-32; Elsewedy W&C +66% FY25 proves the demand cycle	6Wresearch; Elsewedy IR	2026
Industry	S	LME-linked pass-through pricing with raw-material clauses; margins structurally thin; scale + funding decide winners	IndexBox	2025-26
Industry	D	Egypt–Saudi $1.8bn/3,000MW interconnector 95% complete, final testing since Feb-26	DNE; Zawya	Feb-26
Company	C	FY25 NP −62% to 500.3mn; 1Q26 net LOSS 241.6mn on sales −44% — the windfall is over	Zawya; Arab Finance	Mar/May-26
Company	C	FY24-vintage: debt ~9bn, equity ~3.6bn, D/E 248% (was 36%), OCF negative, coverage 2.0×	Simply Wall St	May-25
Company	C/D	Controlling-group block sales: Alhsn 88mn sh @2.00 (01-Jul-26); Mashareq exit @2.21 (Feb-26); Gadwa group ~81% (Mar-25)	Arab Finance; Zawya	2025-26
Company	C	No analyst coverage; no dividend ever; no capital increase 2024-26 (negative searches, logged)	sweep, negative results	05-Aug-26
Company	C	Audited FS PDFs unreachable (company site & disclosure hosts blocked) — derived lines flagged throughout	access log	05-Aug-26

Class: B = backdrop · S = structural · D = discrete/event · C = company-specific.

Appendix C The expert valuation panel

Every study closes with a panel of standing expert methods — each expert runs a genuinely different method, derives a fair value from shown workings, and states the evidence that would falsify it. For ELEC we cast the earnings-power lens, the accountant's owner-cash-earnings lens, and the cash-returns lens — the three methods that disagree most productively on a levered cyclical.

C.1 Expert 1 — earnings power: normalized EPS at a justified multiple

Worldview. A cyclical is worth a fair multiple of its mid-cycle earnings; both the windfall peak and the washout trough are noise to be stripped.

When it works / fails. Best with a long through-cycle record; vulnerable when "mid-cycle" itself is contested — exactly the ELEC problem: is normal 14% EBITDA margin or 25%?

Expert 1's build	Value
Mid-cycle revenue (FY28E-scale)	12,529
Mid-cycle EBITDA margin	16%
Normalized net profit (after 15% money on ~6bn net debt)	371
Normalized EPS	0.11
Justified through-cycle P/E	6.5×
Fair value	→ EGP 0.73

Sensitivity (swing = the margin and the multiple): at 8× on the same earnings, 1.40; at 5.5× on bear-margin earnings, 0.26. Falsified by two consecutive halves of EBITDA margin above ~20% without currency help — that would prove the windfall margins were partly structural.

C.2 Expert 2 — the accountant: owner cash earnings from the statements

Worldview. Profit is an opinion; cash is a fact. Value only the earnings that historically became cash the owner could take out.

When it works / fails. Devastating on names whose profits pile up as receivables — ELEC precisely; unfair to genuine growth if the working-capital build eventually monetises.

Expert 2's ledger	Value
Reported cumulative NP FY23–FY25	3,076
Of which converted to operating cash	≈ nil (OCF negative in FY23/24; ~breakeven FY25)
Where it went	Receivables + inventory, funded by EGP 10.9bn of disclosed bank facilities at 20%+ money
Cash-earnings basis he will pay for (FY27E, actual funding cost)	~-809/yr + partial credit for normalisation
Multiple on cash earnings	6×
Fair value	→ EGP 0.11

Sensitivity: his range (0.07–0.16) turns almost entirely on how much credit to give unproven collection. Falsified by a published cash-flow statement showing sustained positive operating cash flow with receivables actually falling — he would re-run on the proven number.

C.3 Expert 3 — cash returns: ROIC against the cost of capital, through the rate cycle

Worldview. A business is worth its invested capital plus the present value of its spread over the cost of that capital. In a disinflating economy, both legs move — measure them on one calendar.

When it works / fails. The right frame for capital-heavy compounders and the honest frame for capital-heavy value traps; weakest when invested capital itself is mismeasured (his caveat: ELEC's IC is mostly working capital of contestable quality).

Expert 3's economic-profit test	Value
Invested capital (terminal-year basis)	14,693
Terminal ROIC	10.3%
Cost of capital: 22.6% today → 14.1% terminal	the spread is NEGATIVE for the whole explicit window
His EV (economic-profit build ≈ the DCF with a 5% haircut on the spread years)	5,475
less net debt	(10,200)
Fair value	→ EGP 0.10

Sensitivity: ±EGP 500 mn on the EV or the debt anchor moves him ±0.15/share — his range (0.05–0.20) is the leverage talking, not the method. Falsified by ROIC printing above the falling WACC earlier than modelled — collection would do it, since it shrinks the denominator and the debt at once.

C.4 Cross-examination

Expert 1 to Expert 2: "You are punishing them twice — once for the working-capital build and again with a 6× multiple on the earnings that survive it. Collection is not impossible; it is just unproven."

Expert 2 to Expert 1: "Your normalized EPS pays out of profits that have never once turned into cash. Show me one year of positive operating cash flow and I will move; until then a multiple on paper earnings is a multiple on paper."

Expert 3 to both: "You are arguing about the numerator. The economics are simpler: this business earns ~10% on its capital at the terminal and pays 22% for money today, 15% even in the normalized state. A negative spread at this leverage is value destruction on a schedule — the only question is whether the easing cycle arrives before the balance sheet does."

C.5 The three in one room

Where they agree is more striking than where they differ: all three land below EGP 0.73 — the most generous number in the room is still ~37% under the market. They disagree on mechanism, not direction: Expert 1 prices a recovery that has not printed, Expert 2 refuses to pay for cash that has not appeared, Expert 3 counts the cost of waiting for either. Each names the same two exhibits as decisive: the H1-2026 statements (margin and receivables) and any audited cash-flow disclosure.

C.6 Reading the divergence

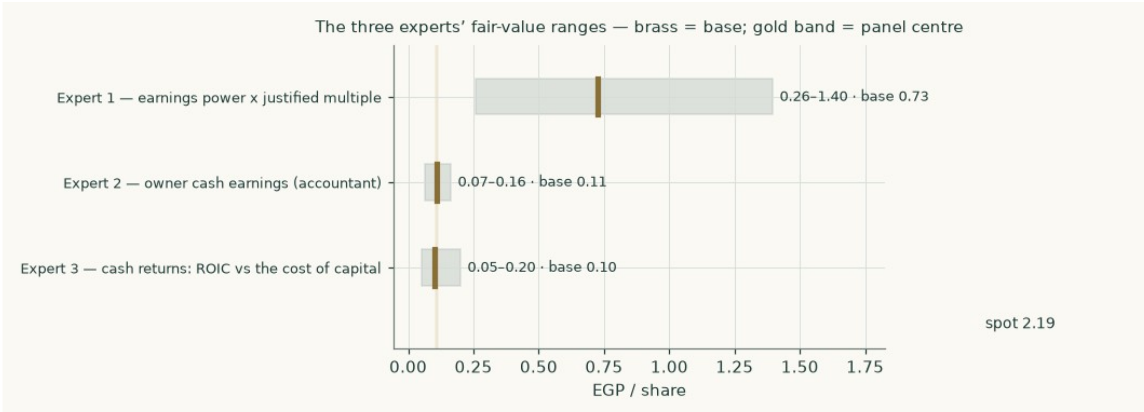

Figure 7 — The three experts' fair-value ranges. Brass ticks are base cases; the gold band is the panel centre; the dark line is spot — above every range shown.

Expert	Method	Single swing assumption	Base fair value
Expert 1	Earnings power × justified multiple	Mid-cycle EBITDA margin 16%	EGP 0.73
Expert 2	Owner cash earnings	Credit given to unproven collection	EGP 0.11
Expert 3	Cash returns (ROIC vs WACC)	The net-debt anchor ±1 bn	EGP 0.10

The spread — 0.10 to 0.73 at base — is wide in ratio terms but narrow in message: no method that starts from the company's own disclosed numbers reaches the market price without assuming the best corner of the scenario space. The panel's centre sits close to the study's weighted central (EGP 0.34), which is the reassuring kind of agreement: three different roads, one neighbourhood.

Each expert's point fair value (and range) is logged with the study date (5 Aug 2026) and spot (EGP 2.19) as an internal per-expert track record.

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Currency & figures. Figures are in Egyptian pounds (EGP), millions unless stated; bn denotes billion. FX at study date: USD/EGP ≈ 50.3. Rounding may cause totals to differ slightly. Spot price and market data are as of 5 August 2026 and change continuously.